

US-Iran Update-The Map Is Expanding

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What only weeks ago appeared to be a confrontation centered on Washington and Tehran is evolving into a broader regional conflict, drawing in additional countries, proxy groups and strategic waterways. The headlines now include Bahrain, Qatar, Oman, Saudi Arabia, Yemen and the Bab el-Mandeb, one of the world's most strategically important maritime chokepoints linking the Red Sea and the Gulf of Aden. Together with the Strait of Hormuz, it has become another focal point for assessing the conflict's potential impact on global trade and energy markets.

For market participants who haven't followed every development, it can feel like a confusing collection of unfamiliar names and places. But the real issue isn't the list—it's what it represents: a conflict that's becoming more regional, more interconnected and potentially harder to contain. That's the development that markets are now being asked to assess.

As the conflict expands, every additional participant or geographic flashpoint brings its own interests, alliances and potential responses. Each new participant increases the number of variables markets must evaluate, widening the range of outcomes investors need to consider. That alone argues for revisiting assumptions that may have formed earlier this summer when tensions appeared to be easing.

Periods of heightened geopolitical uncertainty rarely produce identical market outcomes, but they do tend to reinforce the value of diversification. As this conflict becomes more regional, confidence in any single market forecast becomes increasingly difficult to justify. Rather than anchoring portfolios to one expected outcome, investors may be better served by maintaining flexibility as conditions evolve.

Since the conflict began, shorter-dated US Treasury (UST) yields have risen roughly 25 to 40 basis points (bps), while longer-dated yields are about 45 to 65 bps higher. Agency mortgage-backed securities (MBS) have also moved to more attractive yield levels, providing investors with higher starting yields while continuing to offer high credit quality, liquidity and diversification.

A more uncertain environment may also increase the value of active management. If geopolitical developments place additional upward pressure on inflation expectations or UST yields, strategies such as yield-curve steepeners may warrant renewed consideration, where appropriate, as conditions evolve.

Ultimately, the objective isn't to predict every headline or identify a single "right" interest-rate view. It's to recognize when the investment environment has changed and position portfolios for a world where geopolitical uncertainty may remain elevated for longer than expected.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

Fixed-income securities involve interest rate, credit, inflation and reinvestment risks; and possible loss of principal. As interest rates rise, the value of fixed income securities falls.

Commodities and currencies contain heightened risk that include market, political, regulatory, and natural conditions and may not be suitable for all investors.

Diversification does not guarantee a profit or protect against a loss.

International investments are subject to special risks, including currency fluctuations and social, economic and political uncertainties, which could increase volatility. These risks are magnified in emerging markets. Investments in companies in a specific country or region may experience greater volatility than those that are more broadly diversified geographically.

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